

## Archer Daniels Midland: Navigating Market Shifts with a Focus on Food Waste Reduction

ADM faces a dynamic market landscape, presenting both challenges and opportunities to strengthen its sustainability commitments, particularly in food waste reduction. With recent revenue declines and evolving consumer preferences, strategic investments in resource efficiency and innovative partnerships can unlock significant value.

### Revenue Trends: A Call for Efficiency

ADM's revenue has seen fluctuations, with a recent 4.86% year-over-year decline to \$21.166B in the quarter ending June 30, 2025. Annual revenue for 2024 was \$85.53B, an 8.95% decrease from 2023's \$93.935B. While market factors contribute, a renewed focus on operational efficiency, including minimizing food waste across its extensive supply chain, can bolster profitability and resilience. Reducing waste translates directly to cost savings and increased resource utilization, contributing to a stronger bottom line.

### Sustainability Performance: Building on a Foundation

ADM's current ESG Score of 40 from S&P; Global, within the Food Products industry, indicates a solid foundation for sustainability. ADM recognizes that the health of our natural resources is critical to our future, and that its commitments to sustainable practices will result in a stronger ADM and a better world. ADM is committed to being a force for change in developing innovative, sustainable solutions in agriculture, food and nutrition, industrial and consumer products, energy, and

### Partnerships: Leveraging Collaboration for Impact

ADM's partnership with World Food Program USA since 2005 demonstrates a commitment to addressing global food security. Expanding this collaborative approach to include initiatives focused on food waste reduction can amplify impact. Joining the U.S. Food Waste Pact, an initiative led by ReFED and World Wildlife Fund, would provide a structured framework for setting ambitious reduction targets and tracking progress.

### Market Signals: Opportunities in Biofuels and Beyond

Recent market developments, including challenges in the biofuel sector, highlight the need for diversification and innovation. The decline in crushing profit, down 93% to \$13 million, was "driven by lower margins as a result of muted demand due to the deferral of U.S. biofuel policy and challenges with international trade flows." Repurposing byproducts and waste streams from grain and oilseed processing into higher-value products, including animal feed or other industrial applications, can mitigate risk and create new revenue streams.

### Next Steps: A Roadmap for Collaboration

- **Formalize Commitment:** Join the U.S. Food Waste Pact to publicly demonstrate a commitment to reducing food waste and access resources and best practices.
- **Supply Chain Assessment:** Conduct a comprehensive assessment of food waste hotspots within ADM's extensive supply chain, from agricultural production to manufacturing and distribution.

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- **Innovation Exploration:** Invest in technologies and processes that minimize waste, such as precision agriculture, optimized inventory management, and advanced processing techniques.
  - **Partnership Expansion:** Collaborate with ReFED to identify and implement targeted food waste reduction strategies, leveraging ReFED's expertise and network.
  - **Measurement and Reporting:** Establish robust metrics to track food waste reduction progress and communicate results transparently to stakeholders.